

ReDataX - Policy Economics And Capital Efficiency

Policy Economics And Capital Efficiency

This dashboard explains how predictive signals are converted into economically constrained interventions.

Holdout: 10-16 February 2025 Selected Horizon: 600 seconds Internalization assumption: 25% Mitigation efficiency: 50% Action Cost: 0.5 bps

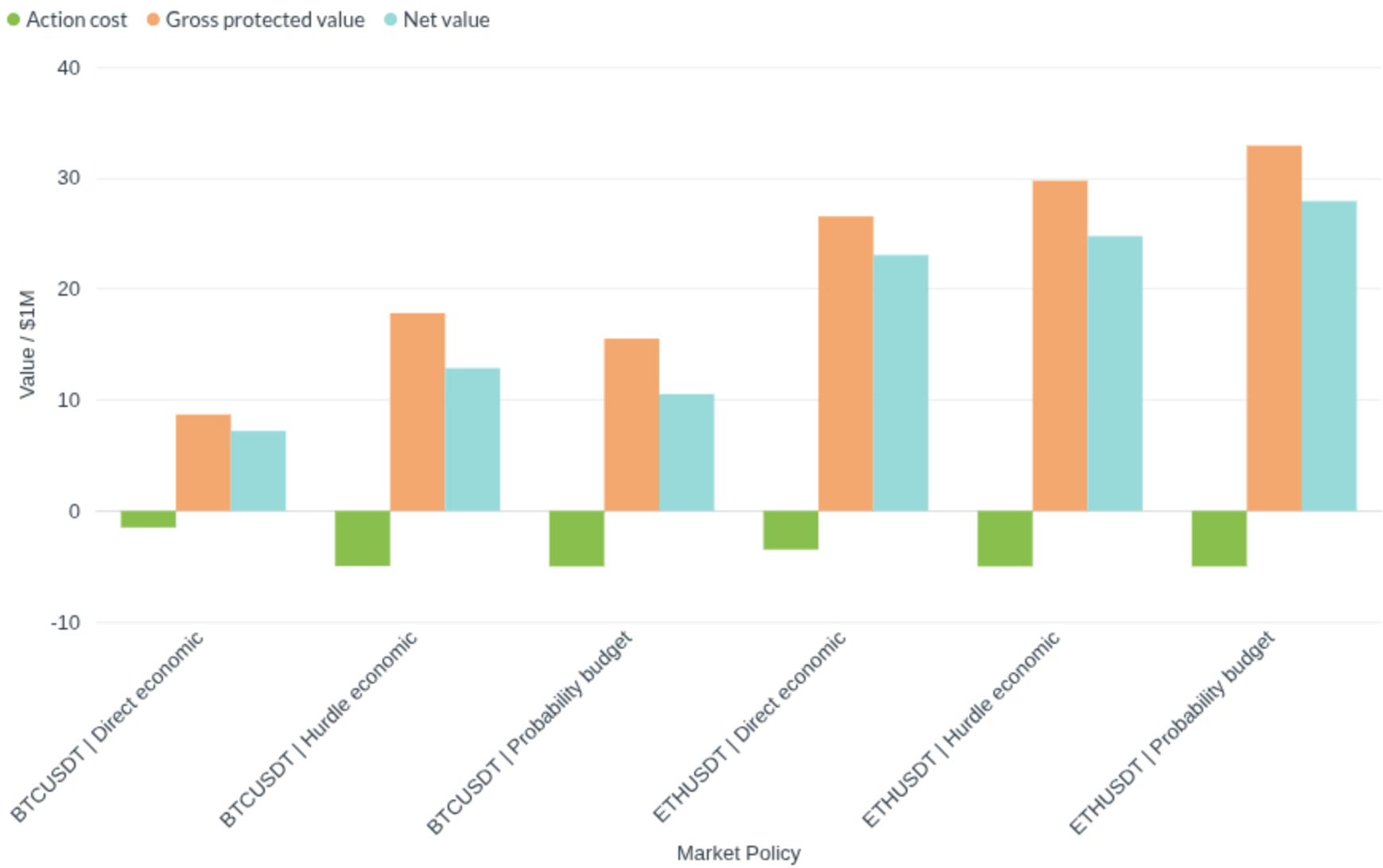
Values represent scenario-adjustment potential protected adverse-selection exposure, not realized bank PnL. Public Binance aggTrades are used as a market proxy.

Scenario Assumptions

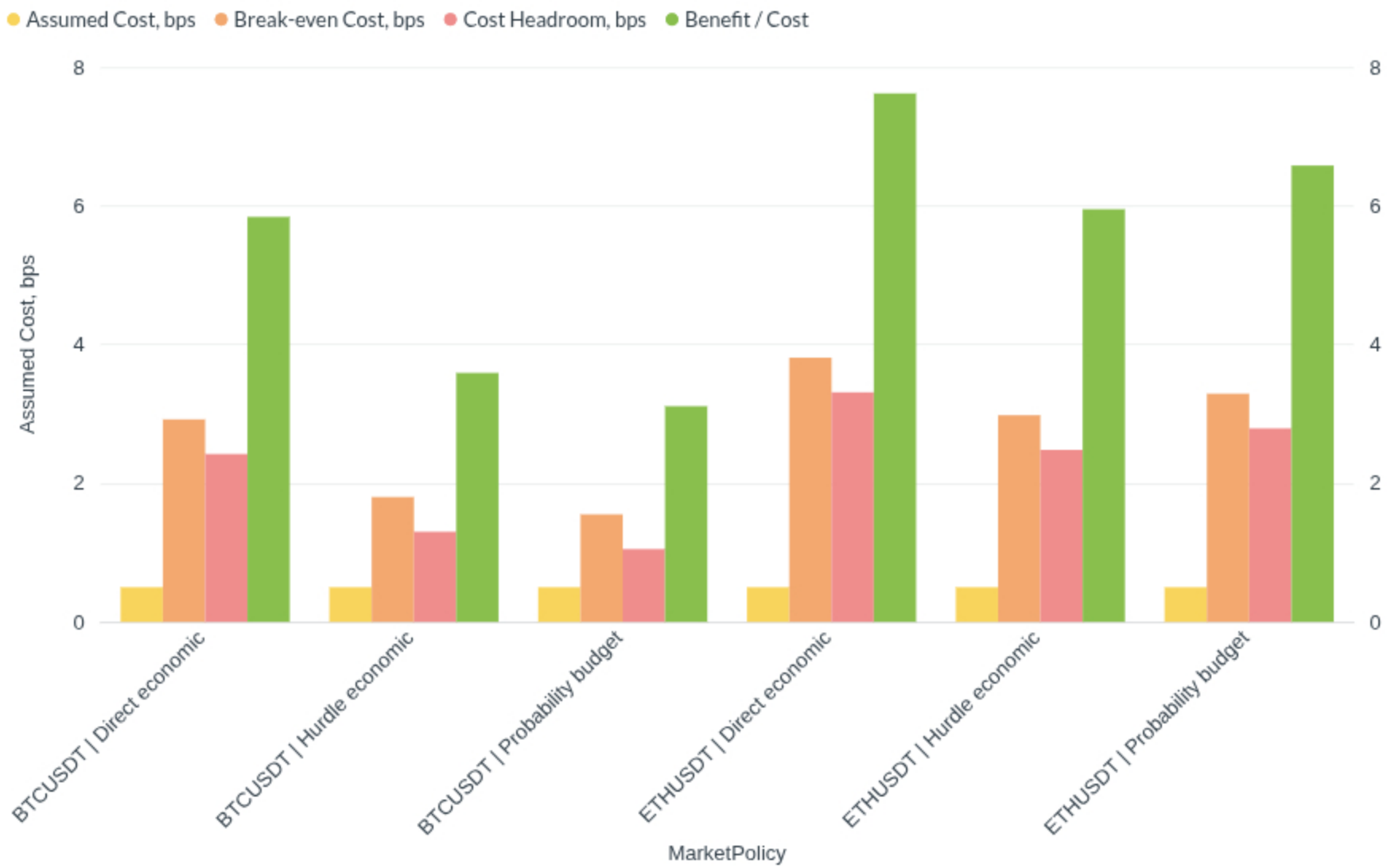
Market	Horizon, sec	Internalization	Mitigation	Action Cost, bps	Break-even Markout, bps
BTCUSDT	600	25%	50%	0.5	4
ETHUSDT	600	25%	50%	0.5	4

2 строки

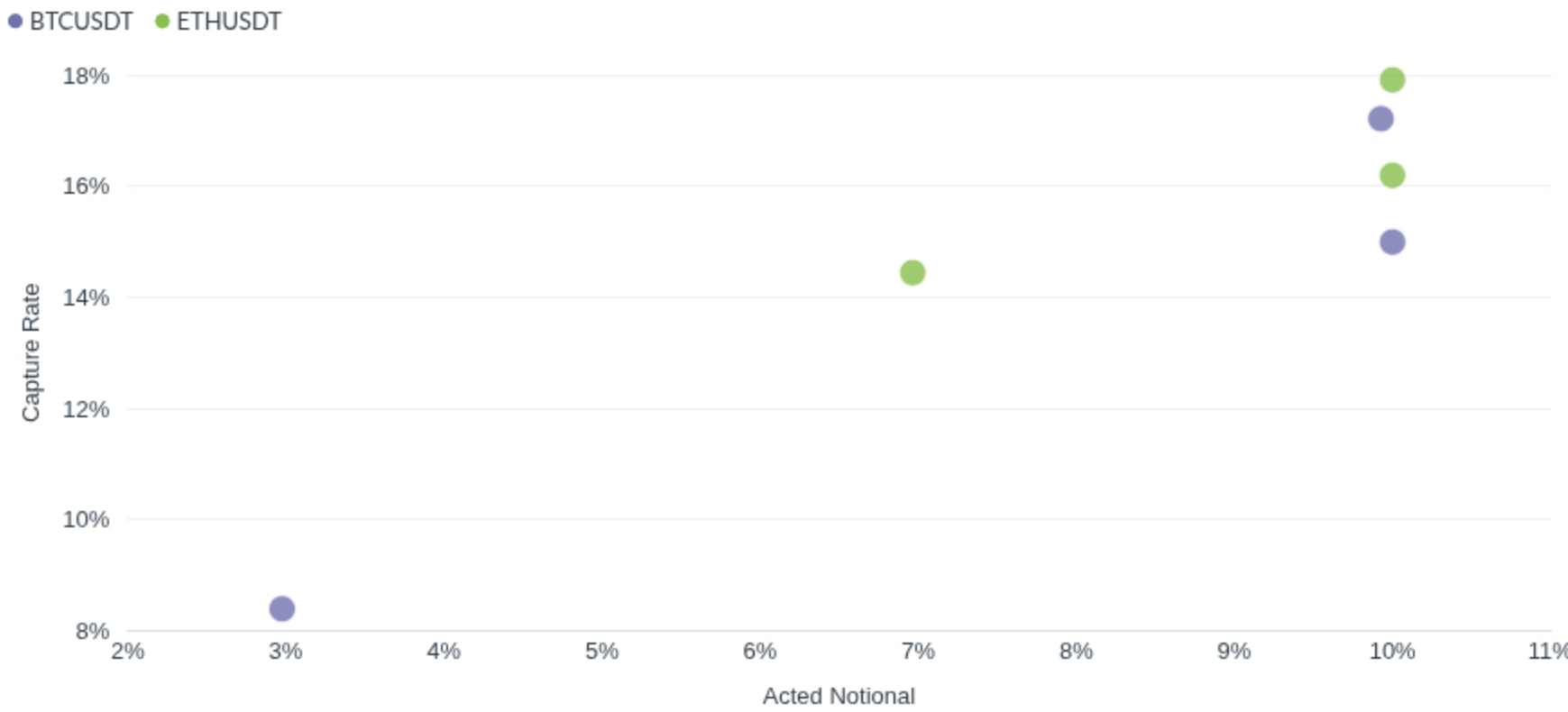
Gross Value, Action Cost and Net Value



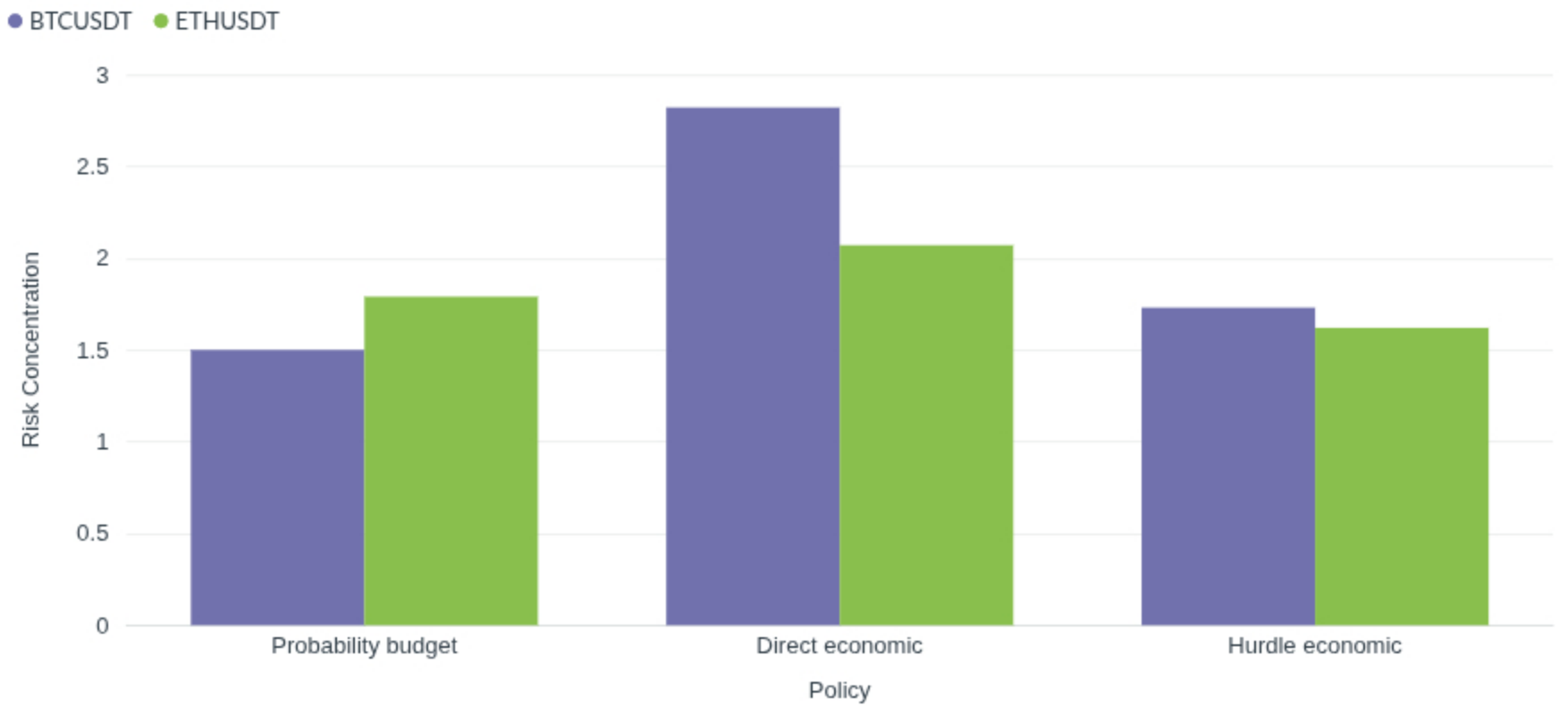
Action Cost vs Break-even Cost



Capital Usage vs Exposure Capture



Risk Concentration By Policy



Capital Usage Support Data

Market	Policy	Notional Affected	Exposure Captured	NetValue
BTCUSDT	Probability budget	10%	15%	10.53
BTCUSDT	Direct economic	2.98%	8.39%	7.2
BTCUSDT	Hurdle economic	9.93%	17.21%	12.86
ETHUSDT	Probability budget	10%	17.91%	27.92
ETHUSDT	Direct economic	6.97%	14.45%	23.06
ETHUSDT	Hurdle economic	10%	16.2%	24.76

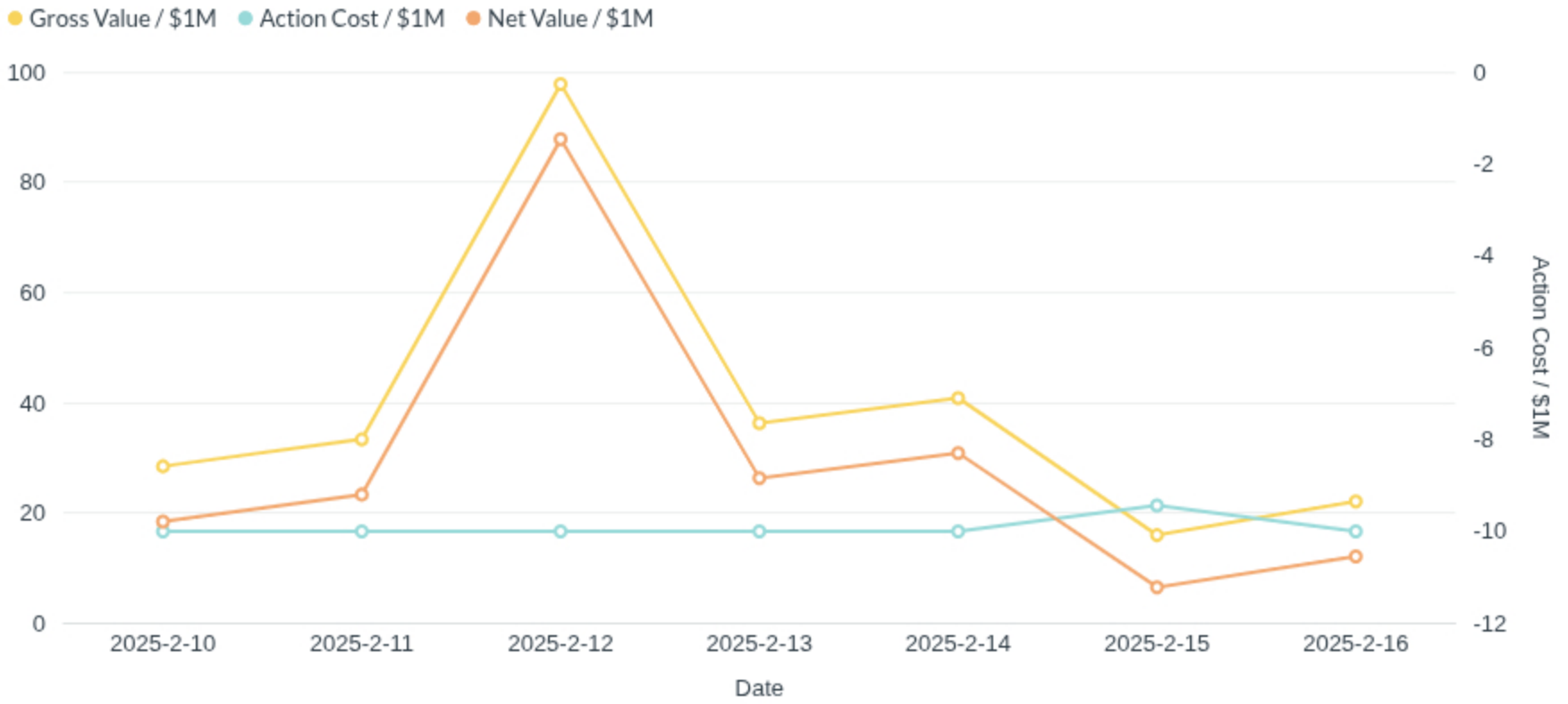
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Policy Efficiency Summary

Market	Policy	Net Value / \$1M	Notional Affected	Exposure Captured	Risk Concentration	Benefit / Cost
BTCUSDT	Probability budget	10.53	10%	15%	1.5	3.11
BTCUSDT	Direct economic	7.2	3%	8.4%	2.82	5.84
BTCUSDT	Hurdle economic	12.86	9.9%	17.2%	1.73	3.59
ETHUSDT	Probability budget	27.92	10%	17.9%	1.79	6.58
ETHUSDT	Direct economic	23.06	7%	14.4%	2.07	7.62
ETHUSDT	Hurdle economic	24.76	10%	16.2%	1.62	5.95

6 строк

Daily Gross, Cost and Net Value



Remaining Economic Headroom

Market	Model Value / \$1M	Oracle Value / \$1M	Remaining Headroom / \$1M	Oracle Capture
BTCUSDT	12.86	48.41	35.54	26.6%
ETHUSDT	24.76	86.57	61.81	28.6%

2 строки

Paired Policy Comparisons					
Market	Comparison	Mean Daily Difference	95% CI	Positive Days, %	Inference
BTCUSD	Hurdle vs Direct	4.54	[1.79; 7.06]	85.7	Positive
BTCUSD	Hurdle vs No Action	9.25	[2.85; 18.05]	85.7	Positive
BTCUSD	Hurdle vs Probability	1.56	[-0.3; 3.44]	85.7	Not significant
ETHUSD	Hurdle vs Direct	3.5	[-0.13; 7.47]	71.4	Not significant
ETHUSD	Hurdle vs No Action	20.08	[11.52; 32.31]	100	Positive
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Policy Roles And Decisions				
Decision Order	Policy	Objective	Observed Result	Role
1	P1 Probability budget	Maximize ranking quality under a fixed notional budget	Strong absolute value; best point estimate on ETH	Strong baseline
2	P2 Direct economic	Maximize expected positive markout per unit of intervention	Lower absolute value, but highest capital efficiency and B/C	Capital-efficient baseline
3	P3 Hurdle economic	Separate probability and severity, then apply an economic gate	Positive final value on both markets; highest deployable value on BTC	Selected final policy
4	P4 Oracle upper bound	Estimate the maximum attainable value with future information	Large remaining predictive and policy headroom	Diagnostic only
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Interpretation

The final policies operate under an explicit notional constraint and a fixed 0.5 bps action cost.

P1 - Probabilty Budget: strong probability-ranking baseline. **P2 - Direct economic:** lower absolute value, but highest capital efficiency. **P3 - Hurdle economic:** highest deployable value on BTC and positive value on both markets **P4 - Oracle:** diagnostic upper bound; not deployable.

The preferred policy depends on whether the objective is maximum protected value or maximum efficiency per unit of intervention. The selected policy doesn't dominate every baseline on every metric. The business choice depends on whether the objective is maximum protected value or maximum efficiency per unt of intervention.